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Chapter 3

Product Costing



Product Costing Introduction

The Production system, Product Costing module calculates the cost of the production items. By doing so, it allows you to set realistic selling prices and to identify those areas of cost which need management attention. For costing purposes various cost values are available:

- Standard
- Cost sets

Different cost sets can be established to reflect various cost standards which may be required for management control. Cost sets use the current set of rates maintained in each cost centre. Higher level costs are obtained by rolling up each element of costs from the lower levels e.g.:

Cost Element	Component A Level 3	Component B Level 2	Component C Level 1	Parent Level 0
1	£1	£4	£7	£12
2	£2	£5	£8	£15
3		£6	£9	£15



Note: Remember that the total costs are based on standard lot sizes.

Product costing is fully supported with on-screen enquiries and reports. For these enquiries and reports it is possible to:

- Change the order in which the elements appear
- Add one element to another
- Roll user-defined cost to another element
- Specify user-defined costs as fixed or variable

All the costing tasks are available from the Product Costing menu.

Item Master File Re-Cost



Note: This section covers costing factors relevant to single item re-cost function; and which are not repeated in that section.



1/MDC

This task enables the calculation of standard and/or current costs to be made for all items on the Item Master file.

All cost elements as defined on the Company Profile are calculated including shrinkage. Shrinkage may be consolidated into the respective cost element if specified on the Company Profile, or shown separately.

All items are costed from the bottom up to ensure that parent items record the correct totals.

Before running this option it is important to ensure that all input (including material) costings have been established, and also any other user defined costs.



Select Item Master File Re-Cost on the menu to display the Item Master File Cost Update Selection screen.

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DB040          Z1 - GB Demonstration Company  USER GBJBAMS  5/12/95
                                           16:03:58

Item Master File Cost Update Selection

Option..... _      1=Standard costing only
                   2=Entered cost set only
                   3=Standard and Entered cost set

Cost Set..... _____

Material Costs..... _      1=Standard Costs
                           2=Entered Cost Set (Non-Standard Costing only)

Cost Set..... _____

Cost as at..... 5/12/95
Consolidate Shrinkage 1      1=Include shrinkage
                           0=Exclude shrinkage

Items to process: (leave blank for all items)
  From.....?.. _____ to _____

Uncosted items only.. _      1=Yes

F3=Exit  F4=Prompt

05-24  SF  MW  KS  IM  II  KENB20A  PET166S2
  
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Fields:

Option

You can enter the following options:

- 1 - Standard Costing Only.
- 2 - Entered Cost Set Only.
- 3 - Standard And Entered Cost Set.

Cost Set

If a non standard cost set is to be re-costed, enter the cost set here. If you use this option, current cost centre rates are used to calculate operational costs.

If this field is left blank and you press **Enter** before using **F8=Submit Job In Batch** to run the update, the following message is displayed: Standard Cost Update Requested.

Material Costs

You can enter the following options:

- 1 - To extract standard route item costs.
- 2 - To extract non standard costs using the cost set previously specified.

Cost Set

Enter the name of the cost set if 2 selected above.

Cost As At

Enter the effective date of the re-cost. Only input and cost routes effective at this date are included. The default is the current date.

Consolidate Shrinkage

The system can hold costs attributable to planned operational and material shrinkage separately from the corresponding element of cost, or consolidate them into the element. However, shrinkage costs, if they exist, are always calculated and recorded in separate cost fields.

You can control via this selection whether shrinkage costs are to contribute to the item unit cost. The default setting of this parameter is set by the Reports Include Shrinkage flag in the Company Profile.

- 0 - Exclude Shrinkage. Not to consolidate shrinkage costs.
- 1 - Include Shrinkage. To consolidate shrinkage costs.

Items To Process From/To

Enter the range of items to be included in the recalculation. Leave blank for all items.

Items that have a primary process group are costed using the costing route of the group. Co-product process groups within the selected range are also re-costed.

Uncosted Items Only

You can restrict the re-cost to items that do not have any costs recorded. This facility allows you to generate costs for newly defined items without affecting established item costs

Enter 1 if only cost of new items are to be updated; otherwise leave blank.

Route

You can enter the following options:

- 1 - Costing Route. This is the default.
- 2 - Cost Route Designate.



Press **Enter** to validate the data you have

entered. Press Select **F8=Submit Job In Batch** to submit the run.



Note: Great care must be taken if a range of items, rather than all, is selected for re-cost to ensure that there are no inconsistencies. For example an input sub-assembly may be updated but the final parent item might be excluded. In this case in enquiries and reports the input cost would not add up to the parent cost.

Single Item Re-Cost



2/MDC

This task provides a single level re-cost for production or phantom items.



Note: Only the item requested is updated.

Multi-level structures can be updated provided the updates are made from the lower levels first and are retained by taking **F8=Update** after each calculation.



Note: Costing parameters and detailed explanations of costing factors are covered in the Item Master File Re-Cost section.



Select Single Item Re-Cost on the Product Costing menu.

Single Item Re-Cost Selection And Update Screen 1



Select Single Item Re-Cost on the Product Costing menu.

DB062	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95 16:05:28
Single Item Re-cost Selection and Update			
Item.....?...	MS001		
Process Group..?...			
Route.....?...	1		
Cost as at.....?	5/12/95	Include shrinkage.. 1	(1=Yes)
Costing Method.....?	3	1=Standard Costs only 2=Entered Cost Set only 3=Both	
Cost Set.....?...	1996F		
Material Costs.....?	1	1=Standard Costs only 2=Entered Cost Set (Non-standard Costing only)	
Cost Set.....?			
F3=Exit F4=Prompt F16=Item Search			
05-23	SF	MW	KS IM II KENB20A PET166S2

Fields:

Item

Enter the item for which costs are to be re-calculated. The system uses the designated costing route for the item as defined via Production Details Maintenance to perform a single-level retrieval of inputs and outputs and rolls up their recorded costs into the selected item costs on an element by element basis.

If costs are to be calculated using process group details, then also enter the process group and group route to be used. A process group entered here causes group costs to be displayed rather than selected group member costs.

Process Group

If you want costs to be re-calculated using the details on a group route rather than a single item route, then enter the process group here.

The item selected must be a group item itself or a co-product output on the group route. The full route costs are calculated and apportioned to the item selected. If the costs for the group or for any one of the co-products are updated, then so are the costs for all the co-products on the route.

Route

Enter the route to be used to calculate costs. This is a route for the process group if one has been entered, otherwise it is for the item entered. The full costs for a process group route are calculated, and then apportioned to the item selected.

Cost As At

This defaults to the current date but can be changed.

Include Shrinkage

Include shrinkage in elemental costs. The system can hold costs attributable to planned operational and material shrinkage separate from the corresponding element of cost, or consolidate them into the element. However, shrinkage costs, if they exist, are always calculated and recorded on the item cost file in separate cost fields. You can control via this selection whether shrinkage costs are to contribute to the item unit cost. The default setting of this parameter is determined by the Reports Include Shrinkage flag on the Company Profile.

Costing Method

Select item costs to be recalculated:

- 1 - For standard costs only.
- 2 - For a cost set only.
- 3 - For both.

Cost Set

If option 2 or 3 was selected above, enter the cost set to be updated. The cost set must be defined. The blank cost set (standard costs) are automatically updated if option 1 was selected.

Material Costs

When standard costing is performed, only standard costs for route items are used.

However, if non standard costs are being updated for the selected item, indicate whether standard or another cost set should be used for route items. This enables you to generate many different cost sets for the parent, using different routes, without having to set up multiple cost sets for the same route items.

- 1 - For standard costs only.
- 2 - For a cost set only.

Cost Set

If option 2 was selected above, enter the cost set from which to find the costs for route items.

Leave blank if standard costs only are to be re-costed. In this case standard costs are used for all costs.



Pressing **Enter** validates the entries and displays the second Single Item Re-Cost Selection And Update screen.

Single Item Re-Cost Selection And Update Screen 2



Pressing **Enter** validates the entries and displays the second Single Item Re-Cost Selection And Update screen.

DB062		Z1 - GB Demonstration Company		USER GBJBAMS	5/12/95
					16:05:48
Single Item Re-cost Selection and Update					
Item.....	MS001	Product A			
Process Group.....					
Route.....	1	UOM... EA			
Cost as at.....	5/12/95	Shrinkage Included			
Standard Cost Set..					
Selected Cost Set..	1996F				
Description		Standard	Selected		
1. Relief Costs					
2. Direct Material		33.09580	33.09580		
3. Packaging					
4. Resource					
5. Labour		2.88455	2.88455		
6. Set-up		.04950	.04950		
7. Machine		13.31547	13.31547		
8. Subcontract					
9. Overhead 1		1.94994	1.94994 +		
F3=Exit F8=Update F12=Re-select Item					
09-39		SP	MW	KS	IM II KENB20A PET166S2

Fields:

Standard Cost Set

Standard Cost Set Description. Enter a cost set description where applicable or leave blank for standard costs.



Warning: Great care must be taken with the use of this option since only the item specified are re-costed; it may cause other parent/input relationship totals to become incorrect.

Purchased Item Re-Cost



3/MDC

The purpose of this task is to transfer material costs from Inventory Management to Production.

The cost is taken from the primary stockroom, or from Purchase Management (if available) if no stockroom costs are available.

The transfer of material cost for non-manufactured items is normally done before any other costing calculations so that material costs can be included in the total cost.

Any costs other than material costs which have been set up are unchanged by this transfer.

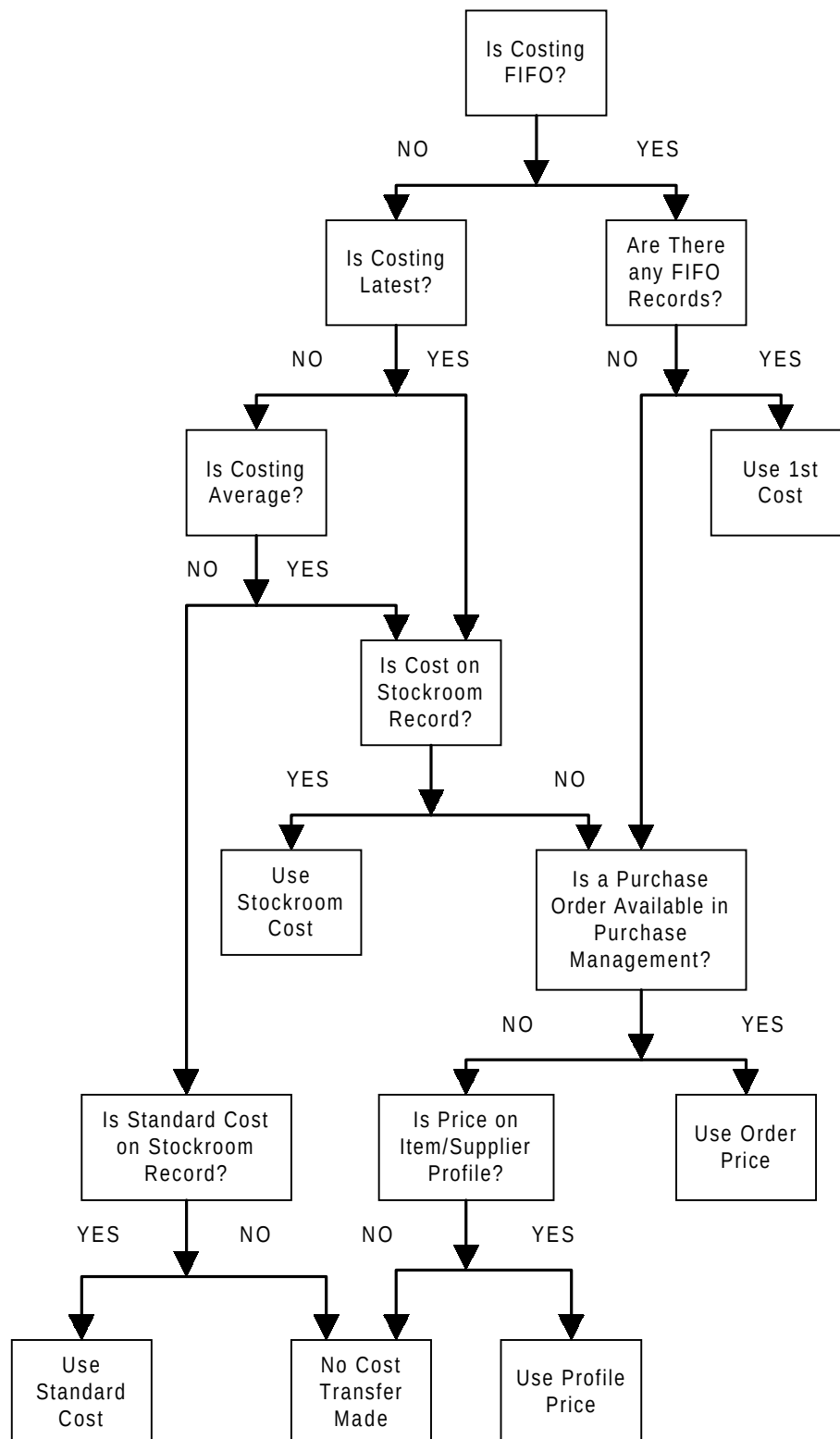
The method of selecting the appropriate material cost is shown in the diagram on the next page.

The selected cost value is transferred into:

- either standard cost
- or specified cost set
- or both

A cost transfer exception report is automatically produced as part of the job. It shows items for which no costs were found in the stockroom record. Note that there may be a cost for these items in production already.

Figure 1: Costs Used In Purchase Items Re-Cost



Select Purchased Item Re-Cost on the Product Costing menu.

DB042	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95
			16:03:35
Purchased Items Costing Update Selection			
Range of items (Leave blank for all).			
to process.... to			
Create Costs For.....	-	1 - Standard Costs	
		2 - Entered Cost Set	
		3 - Both	
Cost Set.....	-		
Inventory costs to copy	-	0/Blank - Default setting from inventory	
		1 - Standard	2 - Latest
		3 - Average	4 - FIFO
Items without costs.....	-	1 - Items without costs only	
Cost Set description....	-		
F3=Exit F4=Prompt			
06-28	SR	MW	KS IM II KENB20A PET166S2

Fields:

Range Of Items To Process

Item types other than M (made) or X (phantom) are re-costed. Leave blank to re-cost all such items.

Create Costs For

You can update the material cost element for selected items in the standard, and/or non standard cost sets.

- 1 - For recording standard cost only.
- 2 - For recording a cost set only.
- 3 - For recording both.

Cost Set

If option 2 or 3 was selected above, enter the non standard cost set to be updated.

Inventory Costs To Copy

Enter the inventory cost type to be copied. The system obtains the cost from the primary item/stockroom record defined in Inventory Management.

0 or Blank - To use default method from the Inventory Management application, Company Profile.

- 1 - For standard cost.
- 2 - For latest cost
- 3 - For average cost
- 4 - For FIFO cost.

Items Without Costs

Enter 1 to restrict the transfer to items which have no material costs in production.

Cost Set Description

Enter the description of the cost set.

Transfer Costs to Inventory

1... **2...** 4/MDC

The unit standard costs created in Production can be transferred to the Inventory Management application. However:

- Only costs for Production items are transferred
- The standard (not cost sets) costs of each Production item is transferred to its primary stockroom
- If there is no Production standard cost, or a zero cost, for an item the existing cost in Inventory is left unchanged



When Transfer Costs To Inventory is selected on the Product Costing menu, the Standard Cost Transfer screen is displayed.

DB047	Z1 - GB Demonstration Company	User GJBAMS	5/12/95 16:06:23
Standard Cost Transfer			
This program will transfer the manufacturing standard cost from the Item data base to the Inventory stockroom.			
Inventory items to process.....: 1 (1=Standard costed only) (2=ALL cost methods)			
From item...: _____		To item...: _____	
Item types...: _ _ _ _ _		(Defaults to M and X)	
Items without costs.....: @ (0=Items with and without costs) (1=Items without costs only)			
Primary Stock room only..... @ (1=Yes)			
F3=Exit F4=Prompt Enter=Submit job			
11-45 SF MW KS IM II KENB20A PET166S2			

Fields:

Inventory Items To Process

This controls which Inventory items are updated with the Production standard based on the Inventory costing method of the item. You can enter one of the following:

1 - Standard Costed Only. Only Inventory items which are costed as standard are updated. The Production standard unit cost is set in each stockroom for standard costed items and an Inventory audit created for each stockroom revaluation.

2 - All Cost Methods. For Inventory items which are costed with the standard cost method, the processing is the same as above. For Inventory items costed by other methods, the standard cost is updated, but no audit record created as the valuation is not affected by a change to standard.

From/To Item

Enter a range of item codes in the From Item and To Item fields, or leave blank to select all items.

Item Types

The costs transfer can be restricted to up to eight selected item types. You can enter any of the following types:

M - Made

P - Purchased

X - Phantom

R - Reusable (tool)

T - Tool (consumable)

G - Gauges

B - Bought

If all the fields are left blank, they default to the M and X item types.

Items Without Costs

This option is given to update all items conforming to the previous parameters, or only items for which no cost currently exists. You can enter one of the following:

0 - Items With And Without Costs. To transfer the cost of all items to Inventory

1 - Items Without Costs Only. To restrict the transfer to those items without costs in Inventory.

Primary Stockroom Only

You can enter one of the following:

0 - No. For all stockrooms which hold this item.

1 - Yes. For the primary stockroom only.



Press **Enter** to submit the job.

The Inventory is re-valued and, if the value changes, an Inventory stock movement is created for each cost transfer.

If a cost is not transferred because of missing or zero costs, then it is listed in the cost transfer exception report, which is automatically printed.

If a landed cost already exists in a stockroom, the cost is not transferred. This item is listed in the cost transfer exception report, which is automatically printed.

Copy Cost Sets/Rates



5/MDC

This task allows production cost sets and/or current cost centre rates to be copied to other cost sets.

If an item has no cost sets and/or zero rates, the corresponding existing standard values are not changed.



Select Copy Cost Sets/Rates on the Product Costing menu.

DB210	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95 16:06:45
Copy Cost Sets/Rates			
Copy Function.....	1	1=Cost centre rates and Item costs 2=Costs only 3=Rates only	
Copy From Set.....	_____		
To Set.....	_____		
Items to process: (Function 1 and 2 only)			
From.....	_____	to _____	
Item types.....	_____		
F3=Exit F4=Prompt			
05-29	SP	MW	KS IM II KENB20A PET166S2

Fields:

Copy Function

- 1 - For both rates and costs.
- 2 - For costs only.
- 3 - For rates only.

Copy From/To Set

Enter the required cost set names.

Items To Process From/To

Enter a range of items. Leave blank for all.

Item Types

Enter the item type (needed for Copy Function 1 & 2 only) The types are defined for each item separately on the Item Master file:

M - Made

B - Bought out

P - Purchased

X - Phantom

T - Consumable tool

G - Gauge

R - Reusable tool.

Transfer Designated Costs



6/MDC



Select Transfer Designated Costs on the menu to display the Rollover Of Designated Costs To Standard Costs screen.

Fields:

From Item

Enter the start of the range of items to be selected.

To Item

Enter the end of the range of items to be selected.

Cost Calculation Date (From)

You can enter the date from which the costs are to be rolled over. Designated costs calculated before the quoted date will not be rolled over. This field defaults to 00/00/00, which are costs from all times.

Update Costing Route

You can decide whether or not to update costs on the costing route. You can enter the following options:

0 - No.

1 - Yes. This is the default.



Note: 1 must always be in either the Update Costing Route or Planning Route field.

Planning Route

You can decide whether or not to update costs on the planning route. You can enter the following options:

0 - No.

1 - Yes.



Note: 1 must always be in either the Update Costing Route or Planning Route field.

Refresh Cost Route Designate

You can decide whether or not to use a new cost route designate. You can enter the following options:

0 - No.

1 - Yes.

New Cost Route Designate

If 1 is entered in the Refresh Cost Route Designate field, you can enter a new cost route designate in this field.



Select **F8=Submit** to run the rollover of designated costs to standard costs.

Item Costs

You can select item costs in the Item Cost Selection screen which can be added, edited or displayed in the Item Cost Maintenance screen.



11/MDC



Select Item Costs on the menu to display the Item Cost Selection screen.

Item Cost Selection Screen

You can select item costs in the Item Cost Selection screen which can be added, edited or displayed in the Item Cost Maintenance screen.



Select Item Costs on the menu to display the Item Cost Selection screen.

Fields:

Item

Enter the code of the item for which you wish to add or maintain costs. If you leave the other selection fields blank, the system identifies the standard costs for this item.

To display costs for a process group, enter the item code of the process group.

To review costs associated with an item when it is a co-product on a particular process group, enter the item code of the co-product.

If there is more than one standard cost and no primary process group is defined for the item, and no costs for its own costing route, then it is advisable for you to be more specific about which costs you wish to maintain in the Item Cost Maintenance screen.

Process Group

To maintain the costs of the item selected when it is produced as part of a process group, enter the code of the process group. The costing route of the process group, as defined in the Costing Route field on the Production Details screen, is selected unless you enter another route in the Route field.

If the item is a process group, and you want to cost the group not an individual item, enter the item code again.

If this field is left blank, the system costs the item using the item code's costing route.

The item should be an output on the route specified for the process group.

If the item is a co-product, and does not have an independent route, the system assumes it is the primary process group entered in the Primary Process Group field on the Additional Parameters Window (F18) associated with the Production Details screen. If no primary is defined, no costs are calculated.

Route

Enter the route via which you wish to maintain costs for the selected item.

If you enter a process group in this field, the route used is the one defined for process group, i.e. the group route is used to develop costs for the group member.

Operation



Note: This field can only be used if 1=Yes is in the Hold Operation Cost field in the Database Options screen associated with Company Profile maintenance.

You can enter an operation number to just cost the operation rather than calculate the full item costs.

Select **F4=Prompt** displays the Cost Set Selection window containing a list of available process groups, routes, operations and cost sets from which to select an operation.

Cost Set

Enter the cost set to be maintained. Multiple cost sets can be held for the same combination of item/route or item/process group/route.

If this field is left blank, the standard costs for the item/process group/route are displayed in the Item Cost Maintenance screen.



Press **Enter** on the Item Cost Selection screen to display the Item Cost Maintenance Screen.

Item Cost Maintenance Screen

The item costs selected in the Item Cost Selection screen can be added, edited or displayed in the Item Cost Maintenance screen.

If the cost set selected on the Item Cost Selection screen does not exist for the item/process group/route, then you can enter the value of each cost element. If the values are displayed, they could have been entered directly or generated by the system in an item re-cost.

The Item Cost Maintenance screen is displayed containing the entries from the Item Cost Selection screen and a list of the cost elements for the selected item. The list of cost elements is longer than this screen, so you can select Page Up and Page Down to see the other cost elements.



Press **Enter** on the Item Cost Selection screen to display the Item Cost Maintenance Screen.

Fields:

(Untitled)



Note: This field is not available when costs are displayed for an operation.

Cost Set Description. Enter a text description of the cost set being maintained or added.

Cost Element

The 16 cost elements are listed in this screen. The name of each cost element is displayed under the Cost Element heading.

For more information about the configuration of cost elements see the two Cost Element Management screens in Maintain Company Profile.

Selected Costs

The existing value of each of the listed cost elements is displayed in this field. You can amend the values.

Four of the cost elements are user-defined, so they are not calculated by the system. In this case, you must enter the values manually. However, if requested, they can be rolled up during cost calculations.



Note: This field cannot be edited when costs are displayed for an operation.

Total Cost:

This field displays the sum of all the cost elements.



Note: The total is calculated by adding all the cost elements together, except Relief, which is subtracted.

Cost Calculated As At:



Note: This field is only displayed for operation costs.

This field displays a date for your information only. This is the date the operation cost was last calculated.



Select **F15=Comparison** on the Item Cost Maintenance Screen to display the Select Comparison Cost Set window.

Functions:

F7



Note: This function is not available when costs are displayed for an operation.

Calculate Totals. If the values in the Selected Costs fields have been changed, select this function to recalculate the total cost. The new total is displayed in the Total Cost field.

F15

Comparison. You can compare the costs using this cost set with the costs using another cost set. For more information see Select Comparison Cost Set Window (F15).

F20



Note: This function is not available when costs are displayed for an operation.

Enter Costs. Select this function to save the cost element values entered in the fields and display the Item Cost Selection screen.

Select Comparison Cost Set Window (F15)



Select **F15=Comparison** on the Item Cost Maintenance Screen to display the Select Comparison Cost Set window.

Fields:

Item

Enter the code of the item or process group you want to compare to the existing cost set.

Process Group

If the comparison cost set is a process group route, and not the primary process group of the item, enter the process group.

Route

The route can be for either the item or the process group. Enter the route of the comparison cost set.

Operation

Enter the number of the operation to be costed.

Cost Set

Enter the comparison cost set. If this field is left blank, the standard costs are used for comparison.



Press **Enter** to accept the entries in the fields.

The Item Cost Maintenance screen is displayed containing the comparison cost set side-by-side with the existing cost set. The entries from Select Comparison Cost Set window are displayed, and the values for each cost element in the comparison cost set are displayed under the Comparison Costs heading.

To copy the comparison cost set to the existing cost set, select **F18=Copy Comparison Costs**. The comparison cost set is copied and displayed on the screen under the Selected Costs heading for each cost element.

Co/By-Product Market Values

You can maintain the values of co-product and by-product items, which have cost apportionment methods 3,4, & 5, using the Co/By-Product Market Values screens.



12/MDC



Select Co/By-Product Market Values on the menu to display the Maintain Item Market Value Details screen.

Enter the Item, Value (either 1 co-product or 2 by-product) Type and Values as at date. Press **Enter**. If values have already been set for the item, these are displayed with the currently effective date.

DB614		Z1 - GB Demonstration Company		USER GBJBAMS	13/12/95
					16:48:38
Maintain Item Market Value Details					
Item...	COP01	Co-product A	UOM.. EA		
Value Type...	Co-Product				
As At...	12/12/95				
Currently Effective From	27/11/95		Final Sales Value	89.00000	
			Separation Value	67.00000	
New Values Effective From	12/12/95		.00000	.00000	
F3=Exit F8=Update F12=Previous					
14-08 SF MK KS IM II KENB20A PET166S2					

Fields:

New Values Effective From

Enter the effective date for the new/replacement values.

Final Sales Value

Enter the external value of the co-product or by-product - for use with Method 3.

Separation Value

Enter the internal value of the co-product or by-product - for use with Method 4.



Tip: Method 5 uses Net Realisable Value which is equal to the NET of Final Sales Value and Separation Value.

Single Level Cost Enquiry



21/MDC

This task produces a single level enquiry detailing all factors contributing towards the cost of an item.

Operational costs are calculated from the requested route component cost and are taken from the Item Master File and rolled up into parent costs. The costing method is the same as that employed by the single item re-cost task.

If component costs have not been recorded, the total cost calculation is incomplete.

The cost presentation is determined by the cost element definition set in the Company Profile.



Select Single Level Cost on the Product Costing menu. The first Single Level Cost Enquiry screen is displayed.

Single Level Cost Enquiry Screen 1



Select Single Level Cost on the menu to display the first Single Level Cost Enquiry screen.

DB220	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95 16:16:15
Single Level Cost Enquiry			
Item.....?...	_____		
Process Group..?...	_____		
Route.....?...	_____		
Operation.....	_____		
As at.....	5/12/95		
Costing Method....: 1		1 = Production Standard	
		2 = Entered Cost Set	
Cost Set.....?...	_____		
Include Shrinkage.: 1		1 = Yes	
Material Costs....: 1		1 = Standard	
		2 = Entered Cost Set	
Cost Set.....	_____		
Operation Costs....: -		(' ' = All Operations, 1 = To Operation)	
		(2 = At Operation)	
F3=Exit F4=Prompt F16=Item Search F18=Cost presentation			
05-23	SP	MW KS IM II	KENB20A PET166S2

Fields:

Item

Enter the item for which costs are to be calculated.

Process Group

Enter a process group here to display the costs of output items defined to the group.

If this field is left blank the costs for the item entered in the Item field above is shown from its own route.

If a value is entered, the item entered above must be defined as a co-product in this group route or a process group itself.

Route

Enter the route you want to use to calculate costs. For single items, this route is exploded to identify inputs, and used to calculate this level production costs. If a process group has been entered, the route code is used to retrieve inputs and co-product outputs for the group route, as well as calculating the group route production costs.

Operation

If the Hold Operation Costs flag on the Company Profile is 1 (yes) individual operations can be costed. Leave blank for all operations, or enter a valid operation number. If a number is entered, you must enter a value at the Operation Costs prompt.

As At

Enter an effective date to establish the effectivity of input and outputs and operations on the route you have selected. Only inputs, outputs and operations effective on the date entered are extracted for cost calculations. The date defaults to the current date.

Costing Method

Enter the method to use to calculate parent production costs.

1 - To use standard cost centre rates to compute production costs and use standard costs for the parent item.

2 - To use current cost centre rates to compute production costs and use the entered cost set to retrieve user defined cost details for the parent item. Cost set entry is mandatory for this option.

Cost Set

If 2 is selected in Costing Method field, you must specify a cost set.

The cost set must exist for the parent item, this cost set is used to retrieve the user-defined costs for the parent item.

If 1 was selected, this field is blank, which causes the standard user-defined costs for the parent item to be used.

Include Shrinkage

You can optionally calculate operational and material shrinkage in the cost calculations.

0 - To exclude shrinkage

1 - To include shrinkage costs.

Material Costs

This parameter determines how inputs to the route are costed.

1 - To use the standard cost of each input to the route

2 - To specify a non standard cost set for inputs. Entry of a cost set value in the Cost Set field is mandatory. This value is used to retrieve the input costs from the cost set specified.

All input items have their costs retrieved from the entered set.

Cost Set

If 2 is entered in the Material Costs field, you must enter a value in this field. The value is used to obtain the costs for all inputs to the route.

If the Material Costs field is set to 1 this field is blank indicating that standard costs for input items are employed.

Operation Costs

If the Hold Operation Costs flag on the Company Profile is set to 1 (yes) operations may be costed.

Leave blank to cost all operations, that is roll up all costs to calculate total cost of output. This is the default unless an operation number has been entered previously.

1 - To cost all operations up to and including the operation number entered

2 - To cost only the particular option entered.



Press **Enter** on the first Single Level Cost Enquiry screen to display the second screen.

Functions:

F16

Item Search.

F18

Cost Presentation.

Single Level Cost Enquiry Screen 2



Press **Enter** on the first Single Level Cost Enquiry screen to display the second screen.

DB220	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95
			16:17:01
Single Level Cost Enquiry As at 5/12/95 ** Includes shrinkage			
Process Group:	Type:	At Standard Cost	
Parent: MS002	St: FG Route: 1	UOM: EA	Total Cost: 51.29525
Product B		Standard Quantity:	1.000
O St Item	Description	T	Quantity UOM Unit Cost
■ RM RAM01	Raw material 1	P	2.340 EA 1.12000
- RM RAM02	Raw material 2	R	5.000 EA 3.22000
- RM RAM03	Raw material 3	P	2.000 EA 5.44000
- RM RAM04	Raw material 4	P	1.500 EA 2.33000
S=Cost detail			
F3=Exit	F12=Previous	F17=Rolled up Costs	F21=This level costs
09-02	SP	MW	KS IM II KENB20A PET166S2

Fields:

The top two lines of data refer to the parent:

St

Stockroom. This is the receiving stockroom of the item route.

UOM

This is the unit of measure on the selected route.

Total Cost

This is the calculated unit cost of the parent.

Standard Quantity

This is the standard batch size of the parent.

The rest of the display refers to the components:

O

Option. Enter 5 to display the first Cost Elements window.

St

This is the issuing stockroom of the component on the selected route.

Item

This is the item code of the component.

T

This is the item type of the component.

Quantity

This is the component quantity required to make the standard lot of the parent route.

UOM

This is the issuing unit of measure of the component.

Unit Cost

This is the unit cost of the item as held on the item cost file.

Functions:

F17

Rolled Up Costs. This function displays the second Cost Elements window.

F21

This Level Costs. This function displays the third Cost Elements window.

Cost Elements Window 1 (Option 5)



Enter 5 against a component in the O column to display this Cost Elements window.

DB220		Z1 - GB Demonstration Company		USER GBJBAMS	5/12/95
					16:17:01
Single Level Cost Enquiry As at 5/12/95 ** Includes shrinkage					
Process Group:		Type:		At Standard Cost	
Parent: MS002		St: FG Route: 1		UOM: EA Total Cost: 51.29525	
Product B				Standard Quantity: 1.000	

O St Item	
S RM RAM01	
- RM RAM02	
- RM RAM03	
- RM RAM04	

Cost Elements	
Item	
RAM01	Raw material 1
Direct Material	1.12000
Total	1.12000

F12=Previous F21=Other costs

S=Cost detail
F3=Exit F12=Previous F17=Rolled up Costs F21=This level costs

11-26 **SP** MW KS IM II KENB20A PET166S2

Fields:

The window displays the selected component's item cost elements. They are displayed in the order specified in the Company Profile. Costs are from the item cost file.

Functions:

F21

Other Costs. Expands the cost elements to include the cost elements held against the item which have not been selected for inclusion in the costing

Cost Elements Window 2 (F17)



F17=Rolled Up Costs on the Single Level
Summary screen opens this window.

DB220		Z1 - GB Demonstration Company		USER GBJBAMS	5/12/95
					16:17:01
Single Level Cost Enquiry As at 5/12/95 ** Includes shrinkage					
Process Group:		Type:		At Standard Cost	
Parent: MS002		St: FG Route: 1		UOM: EA Total Cost: 51.29525	
Product B				Standard Quantity: 1.000	
0 St Item	Cost Elements				
- RM RAM01	Item				
- RM RAM02	MS002 Product B				
- RM RAM03	■ Direct Material 33.09580				
- RM RAM04	Labour 2.88455				
	Set-up .04950				
	Machine 13.31546				
	Overhead 1 1.94994				
	Total 51.29525				
F12=Previous F21=Other costs					
S=Cost detail					
F3=Exit F12=Previous F17=Rolled up Costs F21=This level costs					
11-26 SF MW KS IM II KENB20A PET166S2					

Fields:

The window displays the total rolled up cost for the selected structure. For each element of cost it represents the sum of lower level unit cost element for each component and the parent level cost element. The sum of these elements represents the unit cost of the item.

Functions:

F21

Other Costs. Expands the cost elements to include the cost elements held against the item which have not been selected for inclusion in the costing

Cost Elements Window 3 (F21)



F21=This Level Costs on the Single Level
Summary screen opens this window.

DB220		Z1 - GB Demonstration Company		USER GBJBAMS	5/12/95
					16:17:01
Single Level Cost Enquiry As at 5/12/95 ** Includes shrinkage					
Process Group:		Type:		At Standard Cost	
Parent: MS002		St: FG Route: 1		UOM: EA Total Cost: 51.29525	
Product B				Standard Quantity: 1.000	

0 St Item		
- RM RAM01		
- RM RAM02		
- RM RAM03		
- RM RAM04		

Cost Elements		
Item		
MS002	Product B	
Labour		2.88455
Set-up		.04950
Machine		13.31546
Overhead 1		1.94994
Total		18.19945

F12=Previous F21=Other costs

S=Cost detail
F3=Exit F12=Previous F17=Rolled up Costs F21=This level costs

11-26 **SA** MW KS IM II KENB20A PET166S2

Fields:

This window displays this level parent item costs, without component cost roll up. these represent the single-level unit costs of production for the selected item.

Functions:

F21

Other Costs. Expands the cost elements to include the cost elements held against the item which have not been selected for inclusion in the costing

Indented Cost Simulation Enquiry



22/MDC

This enquiry allows the user to simulate the unit and batch cost of an item based on alternative routes, pricing and cost policies.

Different batch sizes may be selected to see the effects of scale of production on unit costs, since fixed costs are amortised into the batch size.

Fixed costs are defined as:

- Set-up cost
- Fixed overhead
- Fixed user-defined cost

The inclusion or exclusion of shrinkage costs may be chosen.

The effect of the removal or substitution of inputs and the substitution of different stockrooms can be tested.

Across the board percentage cost changes can also be made.



Select Indented Cost Simulation on the menu to display the Indented Cost Simulation Item Selection screen.

Indented Cost Simulation Item Selection Screen



Select Indented Cost Simulation on the menu to display the Indented Cost Simulation Item Selection screen.

DB230	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95 16:07:05
Indented Cost Simulation - Item Selection			
Item.....?..:	_____		
Process Group..?..:	_____		
Route.....:	_____		
Input Route.....:	2	1=Planning Route 2=Costing Route 3=Entered Route	
As at.....:	5/12/95		
Quantity.....:	.000	(Zero assumes Economic order qty)	
Costing Method for Production costs...:	1	1 = Production Standard 2 = Production Current	
Costing Method for Material costs....:	1	1 = Production Standard 2 = Entered Cost Set 3 = Inventory Setting	
Cost Set.....:	_____		
Include Shrinkage?:	1	1=Yes	
F3=Exit F4=Prompt F16=Item Search F18=Cost presentation			
05-23	SF	MW	KS IM II KENB20A PET166S2

Fields:

Item

Enter the item for which costs are to be simulated. The item may be a single item with its own route, a member of a co-product process group route or a process group. Costs for any item may be simulated provided that it has a route defined.

If a co-product is specified that is, an item without a route of its own) it must be an output member of the process group specified in the next entry field.

If a process group is entered here, the calculation displays the primary co-product of the group as the parent of the group. If a primary is not defined, the group itself is displayed as the primary output, allowing summary group costs to be computed and displayed.

Process Group

An entry in this field causes the specified group route to be processed to calculate output co-product item costs. The group route is used to compute co-product output costs by applying the apportionment policies defined for the group route.

If this field is left blank, the item is costed along its own individual route if it exists.

Route

Enter the appropriate route code for the parent item.

Input Route

Enter the method to be used when rolling up input costs:

- 1 - For the planning route
- 2 - For the costing route
- 3 - For the entered route.

As At

Enter the control date for this run. Only costs for inputs effective at this date are rolled into higher level parents.

Quantity

Enter the batch size of the selected item you want to cost. The unit costs calculated are based on this quantity, and a batch cost is also calculated. Fixed costs are amortised over this batch quantity to show the effects of economy of scale. The batch size can represent the natural production size, the formulation or specification batch size, or the accounting standard lot size. The value defaults to the EOQ defined for the selected item route.

Costing Method For Production Costs

Select a basis for establishing production costs. These are in effect cost centre rates for which a standard and current set may be defined. For all non standard cost sets, current cost centre rates are used by default for all system generated costs.

- 1 - For standard
- 2 - For current cost.

Costing Method For Material Costs

Select cost set for non-production items. Standard and non standard cost sets may be defined for any item. This prompt allows for non standard material costs or Inventory costs to be used with standard production rates.

- 1 - For Production cost Standard
- 2 - For Entered cost set
- 3 - For Inventory cost setting

Cost Set

Enter the name of the cost set holding the required costs.

Include Shrinkage ?

You can simulate the effects of operational and material shrinkage in the cost calculations.

- 1 - To consider shrinkage
- 2 - To ignore shrinkage.

The default setting is defined on the Reports Include Shrinkage flag on the Company Profile.



Press **Enter** to validate the entries, submit the job, display a message to indicate the job is running, then display the Indented Cost

Simulation screen.

Functions:

F16

Item Search.

F18

Cost Presentation.

Indented Cost Simulation Screen

The fully indented retrieval of the requested item route combination, showing the rolled up cost of each input item and the total rolled up unit cost of the selected item, is displayed.



Press **Enter** on the Indented Cost Simulation Item Selection screen to validate the entries, submit the job, display a message to indicate the job is running, then display the Indented Cost Simulation screen.

DB231	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95
			16:08:12
Indented Cost Simulation			
Process Group:		Type:	
Parent: MS001	St: FG Route: 1	Simulated Total Cost:	56.78383
Product A		*Inc.shkg Original Cost:	56.78383
Qty: 1.000	UOM: EA	As at: 5/12/95	Unit Cost: 56.78383
		Simulated Line Cost	Original Cost T
Lvl	Item		Quantity UOM
1	RAM01	2.62080	2.62080 P 2.340 EA
1	RAM02	16.10000	16.10000 R 5.000 EA
1	RAM03	10.88000	10.88000 P 2.000 EA
1	RAM04	3.49500	3.49500 P 1.500 EA
1=Item Change 4=Remove 5=Item Cost Detail			
F3=Exit	F5=Reset	F12=Previous	F15=Simulate Costs F17=Cost Changes
F21=Parent Detail	F22=Item Details	F23=Save Costs	
09-02	SR	MW KS	IM II KENB20A PET166S2

Fields:

The top three lines of data relate to the item parent:

Parent

This is the item selected for costing.

St

Stockroom. This is the receiving stockroom for the selected item.

Route

This is the parent route.

Simulated Total Cost

This is the simulated rolled up cost for the batch size requested, reflecting only simulated changes to the cost structure. If you simulate changes in the indented list this field shows the revised simulated costs, thus giving an immediate comparison of costs.

Original Cost

This is the original total rolled up cost for the batch. This value remains unchanged throughout the simulation.

Qty

Quantity. This is the batch quantity specified.

UOM

This is the receiving unit of measure of the parent item in the route stockroom.

Unit Cost

This is the simulated unit cost of the selected item in relation to the cost of the batch. It is obtained by dividing the parent route batch size into the total batch cost.

The simulated unit cost shows how unit costs change in relation to the production or costing batch size.

Fixed costs are amortised over the batch to show the effects of economies of scale on unit cost.

The rest of the display relates to the inputs:

Two versions are available: this summary version and a detailed version. **F22=Item Details** is used to toggle between the two versions. Both versions display:

(Untitled)

Select. You can enter the following in this field:

- 1 - Item Change. The Item Change window is displayed.
- 4 - Remove. The Remove Item window is displayed.
- 5 - Item Cost Detail. The Cost Elements window is displayed.

Lvl

Level. This is the level of the input in relation to the selected parent item which assumes level 0. All inputs of an item are indented one place to the right of its immediate parent with the appropriate relative level number.

Item

This is an input item code identified in the indented explosion.

Simulated Line Cost

This shows the effect, at a given level in the bill, of any simulated cost change or input amendment to the rolled up cost.



Note: The effects of simulated change are rolled up through the entire indented list to recalculate the parent cost.

Original Cost

This shows the initial rolled up cost at the input level. It remains unchanged throughout the simulation and allows a comparison with the Line Cost value which shows the effect of any changes

T

Type. This is the item type.

Quantity

Quantity Required. This is the quantity of the input needed to make the parent batch. The value reflects the inflated requirement due to operational shrinkage at higher levels, or material shrinkage on the input itself.



Note: If using lot-sized structure, the quantity per relationships are adjusted to reflect the actual required quantity of any parent item in higher level assemblies.

UOM

This is the issuing unit of measure in the input stockroom.

When **F22=Item Details** is selected, the *detailed* version also includes:

Stockroom

This is the issuing stockroom on the exploded route.

Shr %

This is the planned shrinkage percentage for the input in the indented bill. The value represents the cumulative effect of higher level shrinkage on the input itself.

Description

This is the input description

Unit Cost

This is the calculated rolled up, unit cost of the input in the indented list.

For purchased and bought items it represents the unit cost as recorded at Production standard or current, or Inventory stockroom cost.

For manufactured and phantom items it is calculated on the basis of the batch size entered for the parent which derives a quantity required for the item in the indented list.

The rolled up costs calculated for the required quantity are divided by the quantity required to give a simulated unit cost.

As with the parent unit cost the fixed costs are amortised over the quantity required, showing the effects of scale economies.

Functions:

F15

Simulate Costs. Simulates the effect of any removed or replaced inputs. For more information see Indented Cost Simulation Screen (F15).

F17

Cost Changes. For more information see Cost Changes On Stockroom Items Screen (F17).

F21

Parent Detail. Displays the Cost Element window for rolled up parent item costs.

F22

Item Details. This function allows you to toggle between a summary screen and a detailed screen. Additional fields are displayed for the detailed screen.

F23

Save Costs. Enables this cost simulation to be saved as a different cost set.

F24

Co-Products. For process groups, the available fields and screens are similar to those used for non-process groups. Whenever making an enquiry or running a report for a co-product:

Enter the item as the co-product item number

Enter the process group as the process group item number

If you use the process group item number in BOTH fields, then the enquiry or report is for the process group as a whole. In costing enquiries, additional function keys are provided to move quickly between co-products.

For example, select Indented Cost Simulation from the Product Costing menu. Enter a process group item and press **Enter**. The Indented Cost Simulation screen is displayed containing **F24=Co-Products**.

This function gives direct access to the co-product cost window and further window cost details by cost element can be seen by entering 5 against a co-product.

Item Change Window (Option 1)



On either version of the Indented Cost Simulation screen enter 1=Item Change in the (untitled) column against a selected input.

DB231		Z1 - GB Demonstration Company		USER GBJBAMS	5/12/95
					16:08:12
Indented Cost Simulation					
Process Group:		Type:			
Parent: MS001		St: FG Route: 1		Simulated Total Cost: 56.78383	
Product A				*Inc.shkg Original Cost: 56.78383	
Qty: 1.000		UOM: EA		As at: 5/12/95 Unit Cost: 56.78383	
Lvl	Item				
- 1	RAM01				
- 1	RAM02				
- 1	RAM03				
1 1	RAM04				

Item Change

Enter item:

RAM04 Raw material 4

Stockroom... RM

F4=Prompt F12=Previous F8=Change costs

1=Item Change 4=Remove 5=Item Cost Detail					
F3=Exit	F5=Reset	F12=Previous	F15=Simulate Costs	F17=Cost Changes	
F21=Parent Detail	F22=Item Details	F23=Save Costs			
10-26	SA	MW	KS	IM	II KENB20A PET166S2

Fields:

Item

Enter the replacement item.

Stockroom

Enter the stockroom.



Press **Enter** to validate, close the window, and to update the input line on the Indented Cost Simulation screen.

Remove Item Window (Option 4)



On either version of the Indented Cost Simulation *item* cost screen enter 4=Remove in the (Untitled) column against a selected input.

```

DB231                Z1 - GB Demonstration Company    USER GBJBAMS    5/12/95
                                      16:12:24

Indented Cost Simulation
Process Group:                Type:
Parent: MS001                St: FG Route: 1 Simulated Total Cost:    54.85125
Product A                    *Inc.shkg Original Cost:    56.78383
Qty: 1.000    UOM: EA    As at: 5/12/95    Unit Cost:    54.85125

  Lvl  Item
  - 1  RAM01
  - 1  RAM02
  - 1  RAM03
  - 1  RAM05
  
```

Remove Item

Item

RAM02 Raw material 2

Stockroom... RM

F11=Remove F12=Previous

```

1=Item Change  4=Remove  5=Item Cost Detail
F3=Exit    F5=Reset    F12=Previous    F15=Simulate Costs    F17=Cost Changes
F21=Parent Detail    F22=Item Details    F23=Save Costs
11-02    SF    MW    KS    IM    II    KENB20A    PET166S2
  
```



Confirm removal of the input by selecting **F11=Remove**. The window closes and the input is flagged as temporarily removed on the Indented Cost Simulation screen.

```

DB231                Z1 - GB Demonstration Company    USER GBJBAMS    5/12/95
                                      16:12:24

Indented Cost Simulation
Process Group:                Type:
Parent: MS001                St: FG Route: 1 Simulated Total Cost:    54.85125
Product A                    *Inc.shkg Original Cost:    56.78383
Qty: 1.000    UOM: EA    As at: 5/12/95    Unit Cost:    54.85125

  Lvl  Item                Simulated Line Cost    Original Cost    T    Quantity    UOM
  - 1  RAM01                2.62080                2.62080    P    2.340    EA
  - 1  **REMOVED**                16.10000                16.10000    R    EA
  - 1  RAM03                10.88000                10.88000    P    2.000    EA
  - 1  RAM05                1.56242                3.49500    P    1.500    EA
  
```

```

1=Item Change  4=Remove  5=Item Cost Detail
F3=Exit    F5=Reset    F12=Previous    F15=Simulate Costs    F17=Cost Changes
F21=Parent Detail    F22=Item Details    F23=Save Costs
09-02    SF    MW    KS    IM    II    KENB20A    PET166S2
  
```

Cost Elements Window (Option 5)



On either version of the Indented Cost Simulation *item* cost screen enter 5=Item Cost Detail in the (Untitled) column against a selected sub-assembly.

DB231		Z1 - GB Demonstration Company		USER GBJBAMS	5/12/95
					16:14:04
Indented Cost Simulation					
Process Group:		Type:			
Parent: MS001		St: FG Route: 1		Simulated Total Cost:	38.75125
Product A				*Inc.shkg Original Cost:	56.78383
Qty:	1.000	UOM: EA	As at: 5/12/95	Unit Cost:	38.75125
Lvl	Item				
- 1	RAM01				
- 1	**REMOVED**				
- 1	RAM03				
- 1	RAM05				

Cost Elements	
Item	
RAM03	Raw material 3
Direct Material	10.00000
Total	10.00000

F12=Previous F21=Other costs					
1=Item Change 4=Remove 5=Item Cost Detail					
F3=Exit	F5=Reset	F12=Previous	F15=Simulate Costs	F17=Cost Changes	
F21=Parent Detail	F22=Item Details	F23=Save Costs			
11-26	SA	MW	KS	IM	II KENB20A PET166S2

Fields:

The costs elements are displayed in the order specified in the Company Profile. Zero cost elements are not displayed. The elements contain the rolled up costs for the indented bill plus any this level user-defined costs that have been configured in the Company Profile. Shrinkage costs, if used, are shown either as a consolidated total, or are accumulated into each element cost, depending on how you have chosen to display shrinkage.



Note: Material shrinkage is not shown in the consolidated shrinkage element; the material cost displayed always contains the portion of cost due to any defined shrinkage.

Functions:

F21

Other Costs. Expands the cost elements to include the cost elements held against the item which have not been selected for inclusion in the costing.

Indented Cost Simulation Screen (F15)



Select **F15=Simulate Costs** to recalculate the costs for the higher inputs:

DB231	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95
			16:12:24
Indented Cost Simulation			
Process Group:		Type:	
Parent: MS001	St: FG Route: 1	Simulated Total Cost:	54.85125
Product A		*Inc.shkg Original Cost:	56.78383
Qty: 1.000	UOM: EA	As at: 5/12/95	Unit Cost: 54.85125
Lvl	Item	Simulated Line Cost	Original Cost T Quantity UOM
- 1	RAM01	2.62000	2.62000 P 2.340 EA
- 1	RAM02	16.10000	16.10000 R 5.000 EA
- 1	RAM03	10.80000	10.80000 P 2.000 EA
- 1	RAM05	1.56242	3.49500 P 1.500 EA
1=Item Change 4=Remove 5=Item Cost Detail			
F3=Exit	F5=Reset	F12=Previous	F15=Simulate Costs F17=Cost Changes
F21=Parent Detail	F22=Item Details	F23=Save Costs	
09-02	SP	MW KS	IM II KENB20A PET166S2

Cost Changes On Stockroom Items Screen (F17)



From either version of the Indented Cost Simulation item cost screen select **F17=Cost Changes**.

This screen enables the simulation of the effect of material cost changes and production cost changes on item costs. It does this by changing material costs or cost rates by a percentage. For all stockrooms in the indented list a % Change (default 100%) can be specified for:

- Bought items (i.e. item type B)
- Production items (i.e. item type M or X)
- Purchased items (i.e. all other item types)

For each class of item a Type of costing must be specified:

- 1 for Production Standard
- 2 for Entered Cost Set
- 3 for Inventory Setting (not Production items)

DB232	Z1 - GB Demonstration Company	USER GBJBAMS	5/12/95			
			16:14:26			
Cost Changes on Stockroom Items						
St	Purchased Items		Bought Items		Produced Items	
	% Chg	Type	% Chg	Type	% Chg	Type
FG	100	1	100	1	100	1
RM	100	1	100	1	100	1
<u>Produced Items valid types:</u>				1 = Standard 2 = Entered cost set		
<u>Purchased and Bought items valid types:</u>				1 = Production Standard		
				2 = Entered cost set		
				3 = Inventory Setting		
F12=Previous		F8=Update				
07-09		SF		MW KS IM II KENB20A PET166S2		



Select **F8=Update** to recalculate and return the previous screen with the changed costs highlighted.

Product Cost Report



31/MDC



Select Product Cost on the menu to display the Product Costing Report Selection screen.

```

DB045P          Z1 - GB Demonstration Company  USER GBJBAMS  5/12/95
                                           16:19:10

Product Costing Report Selection

From Item.....?..  (Blank for start of file)
To Item.....?..  (Blank for end of file)
Process Group...?.. 
Route .....?.. 
Operation.....?.. 
Costing Method..... 1 (1=Standard 2=Entered Cost Set)
Cost Set..... 

Quantity.....  (Blank for Economic Order Qty.)

Include Shrinkage... 1 (1=Yes)

Effective as at..... 5/12/95
Operation Costs..... - (' ' = All Operations, 1=To Operation)
                      (2 = At Operation)

-----
F3=Exit  F4=Prompt  F10=Cost presentation

06-24  SF  MW  KS  IM  II  KENB20A  PET166S2
  
```

Fields:

From/To Item

Enter the range of items to be costed. Leave blank for all items.

Process Group

If the report is to show routes for any process group(s) on which the selected items occur, enter the process group code.

Route

Enter the route you wish to cost against. You can cost items through alternative routes. By specifying the costing route designated for the item via Production Details Maintenance, you can simulate the item re-cost function, which always uses the costing route for re-cost calculations.

Operation

Enter an operation number to cost the operation, rather than calculate full item costs. Operation costs comprise material costs added at the operation, plus operation costs added at the operation plus shrinkage (if any) to both materials and operation costs.

Material costs are broken down into cost elements as defined on the Company Profile for all purchased and production items.

Operation costs comprise set up and run time costs incurred at the operation together with any utility costs.

This field is only effective if the Hold Operation Costs flag on the Company Profile is set to 1 (yes).

Costing Method

Enter 1 for standard or 2 for cost set.

Cost Set

If option 2 was selected above, enter the cost set to be used. The blank cost set (standard costs) is automatically updated if option 1 was selected.

Quantity

Enter the batch quantity that is to be used to calculate costs. If set to zero or left blank, the Economic Order Quantity (EOQ) specified for the selected item(s) route is used as the costing batch size.

To simulate the re-cost function, you should specify the standard lot size defined on the designated costing route for an item. Other batch sizes result in different unit cost calculations if fixed costs contribute to an item cost, because they are amortised over the specified batch size.

Include Shrinkage

You can generate costs that take account of operational and material shrinkage. Enter 1 for yes; otherwise leave blank.

Effective As At

Enter the control date, only costs for components effective at this date are rolled into higher level parent items. The date defaults to the current date.

Operation Costs

If the Hold Operation Costs flag on the Company Profile is set to 1 (yes), operations may be costed. An entry of 1 or 2 is mandatory if an operation has been specified at the Operation prompt. The following entries are valid:

(Blank) - Cost all operations, that is, roll up all costs to calculate the total cost of the item. This is the default unless an operation number has been entered previously.

1 - Cost all operations up to and including the operation number entered.

2 - Cost only the particular operation entered.



Press **Enter** to validate the entries and to submit the job.

Indented Cost Rollup Report



32/MDC



Select Indented Cost Rollup on the menu to display the Indented Inputs Report screen.

```

DB074          Z1 - GB Demonstration Company    USER GBJBAMS    5/12/95
                                           16:19:34

Indented Inputs Report

From Item.....?..                      (Blank for start of file)
To Item.....?..                      (Blank for end of file)
Process Group..?..                     
Route .....?..                      or type 'ALL' for all Routes
Component Route... 2 /                      (1=Planning 2=Costing 3=Entered route)

Batch Quantity....                      (Blank for Economic Order Qty)
Costing Method.... 1 (1=Standard 2=Entered Cost Set 3=No Costing)
Cost Set.....                     
Inc.shrinkage.... 1 (1=Yes)
Material Costs.... 1 (1=Production 2=Inventory)
Operation summary. 1 (1=Yes)

As at ..... 5/12/95
Ignore effectivity - (1=Yes)

-----
F3=Exit F4=Prompt F18=Cost presentation

05-20 SR MW KS IM II KENB20A PET166S2
  
```

Fields:

From/To Item

Enter the range of item codes required. Leave blank for all items.

Process Group

If you wish costs to be re-calculated using the details on a group route rather than a single route, then enter the process group code.

Route Code

Enter a single route code or ALL for all routes.

Component Route

- 1 - For the planning route as in the Item Master file
- 2 - For the costing route
- 3 - For the same route as the parent.

Batch Quantity

Enter the parent batch quantity to be costed or leave blank for EOQ. The batch quantity determines all lower level input usage, and be used to amortise fixed costs against when developing a unit cost for all selected items.

Fixed costs are:

Set-up

Fixed time, operation, labour and machine costs

Fixed user-defined costs

Fixed overheads

Costing Method

1 - For Standard

2 - For Entered Cost Set

3 - For no costing.

Cost Set

If option 2 was selected above, enter the cost set to be interrogated. The blank cost set (standard costs) is automatically used if option 1 is selected. This field is used to determine input costs. If Material Costs are set to 1 the system uses standard cost centre rates and standard material costs. If Material Costs are set to 2 the system uses current cost centre rates and non standard material costs from the entered cost set.

Inc Shrinkage

Include Shrinkage. Enter 1 to include; otherwise leave blank.

Material Costs

Material costs can be obtained from one of two sources. These are the only recorded costs that are used to calculate item costs.

1 - For Production

2 - For Inventory

Operation Summary

Enter 1 to produce summary cost totals after each operation. This option is only applicable if the Hold Operation Costs flag on the Company Profile is set to 1 (yes).

As At

Enter a date to establish the effectivity of the inputs on exploded routes. Only inputs that are effective on the specified date are extracted for processing and cost contribution. The date defaults to the current date.

Ignore Effectivity

If you are producing an indented report without costs you can report on all inputs regardless of their effectivity.

0 or blank - To include effectivity

1 - To ignore input effectivity.



Press **Enter** to validate the entries and to submit the report.